

9-3d The Unfair-Competition Argument

A common argument is that free trade is desirable only if all countries play by the same rules. If firms in different countries are subject to different laws and regulations, then it is unfair (the argument goes) to expect the firms to compete in the international marketplace. For instance, suppose that the government of Neighborland subsidizes its textile industry, thus lowering the costs of production for Neighborland's textile companies. The Isolandian textile industry might argue that it should be protected from this foreign competition because Neighborland is not competing fairly.

Would it, in fact, hurt Island to buy textiles from another country at a subsidized price? To be sure, Isolandian textile producers would suffer, but Isolandian textile consumers would benefit from the low price. The case for free trade is the same as before: The gains of the consumers from buying at the low price would exceed the losses of the producers. Neighborland's subsidy to its textile industry may be a bad policy, but it is the taxpayers of Neighborland who bear the burden because they have to pay for the subsidy. Island benefits from the opportunity to buy textiles at a subsidized price. Rather than objecting to the foreign subsidies, perhaps Island should send Neighborland a thank-you note.